Introduction to Economics

Class 9 — Price controls; international trade and tariffs

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Universitat de Barcelona · Group A6

22 October 2026

Plan for today

Warm-up
Catalonia caps rents: what will happen?
The lost triangle, computed
In pairs: taxes on menús
A rent cap: a shortage, now and over the years
Catalonia: what the data say
Break · Problem set 1 on the front desk
A price floor: the minimum wage
Open borders: who wins, who loses
In pairs: cava at home and abroad
A tariff: who gains, what is lost
EU car duties; why limit trade; in pairs
In one line; before Monday 26 October

Slide 1 Title

Preview version. The full slides and handout are posted after class.

Block 3 continues. Monday measured what a market is worth and put a tax on it; today the lost triangle gets a formula and is then used to judge two more things a government does: setting the price itself, with a rent cap and a minimum wage, and taxing goods that cross the border. The thread is a real rent cap in Catalonia: what the picture says it should do, and what happened next.

Slide 2 Plan for today

The class at a glance, and one tool for all of it. Monday's lost triangle first gets a formula and three rules; the same triangle then measures what a rent cap and a minimum wage cost, and after the break what opening a border gains and what a tariff takes back. The hook is Catalonia's rent cap: the picture predicts what it should do, and the end of the first half says what the data show.

Two halves of fifty minutes with a ten-minute break between them; Problem set 1 is handed in at the break.

Warm-up: which elasticity, what number, what word?

4 % fewer tubs of margarine sold. Two different causes:

1. Its price rose 10 %; nothing else changed
2. Incomes rose 10 %; all prices unchanged

In pairs, one minute; then hands per item.

Slide 3 Warm-up: which elasticity, what number, what word?

A warm-up on Class 7's elasticities: the same fall in sales, from two different causes. Before class, decide for each cause which elasticity it is, compute it, and give the word that goes with its value; check which of the two keeps its minus sign.

Revealed in class.

Warm-up: which curve moves? Rooms for students

Rooms for students in Barcelona

1. A new campus brings 2,000 more students
2. Owners turn rooms into tourist lets
3. Because of 2, rents rise: does demand shift too?

In pairs, two minutes; then hands per item.

Slide 4 Warm-up: which curve moves? Rooms for students

The second warm-up is Class 5's shift question, on rooms for students in Barcelona. Before class, decide for each event which curve it moves and which way, if any; for item 3 ask whether a change in the rent itself can move the demand curve for rooms. Sketch it.

Revealed in class.

16 March 2024: Catalonia caps the rent on new contracts

a new tenant's rent → **no higher than the last tenant's**

140 towns with a stressed rental market, Barcelona included

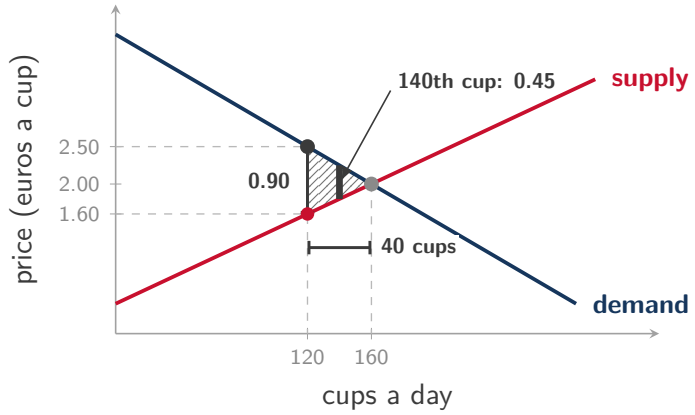
What happens to rents — and to how many flats get rented?

Ley 12/2023 (Spain's housing law); Resolució TER/800/2024 (DOGC, 14 March 2024), in force 16 March 2024.

Slide 5 16 March 2024: Catalonia caps the rent on new contracts

The hook, from the official gazettes. Spain's 2023 housing law lets a region declare a rental market stressed, and Catalonia was the first region to do so under that law (its 2020 cap, Class 4, had been struck down in 2022): from 16 March 2024, in 140 towns including Barcelona, a new contract may not charge more than the previous tenant paid for the same flat. The slide asks two things: what happens to the rent people sign for, and to how many flats get rented at all. Keep both open while the first half builds the tool; the answer (slide 13) needs Class 8's lost triangle (slide 6) and a cap drawn on Class 7's Gràcia street (slide 11).

Class 8's lost 18 euros: half the tax times the cups not made

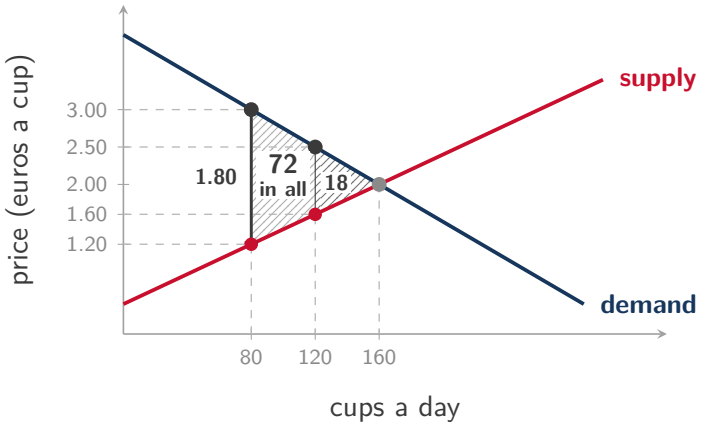


Deadweight loss = ½ × tax × cups lost = ½ × 0.90 × 40 = 18 euros a day.

Slide 6 Class 8's lost 18 euros: half the tax times the cups not made

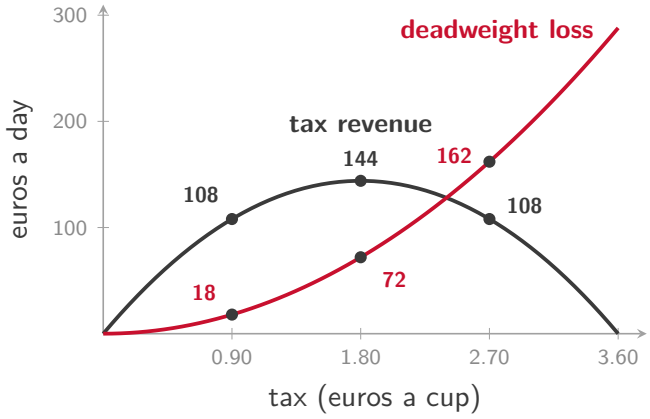
Monday's picture, with the 18 explained. Take any cup between 120 and 160: someone would pay more for it than a bar needs to make it, so the deal was worth making; with the tax the two sides together cannot cover cost plus tax, the cup is not made, and its surplus goes to nobody. The lost deals form a triangle whose height is the tax and whose base is the cups no longer made, and half of base times height gives the number. The state's revenue is not part of the loss: that money buys something; the deadweight loss is only what disappears. A subsidy has a triangle of the same kind on the other side of 160, where the extra cups cost more than they are worth.

Twice the tax, four times the loss



Twice the tax: twice the cups lost, twice the height — four times the loss.

Raise the tax and revenue rises, then falls — the loss keeps growing



Beyond 1.80 a cup, a higher tax raises less money and loses more.

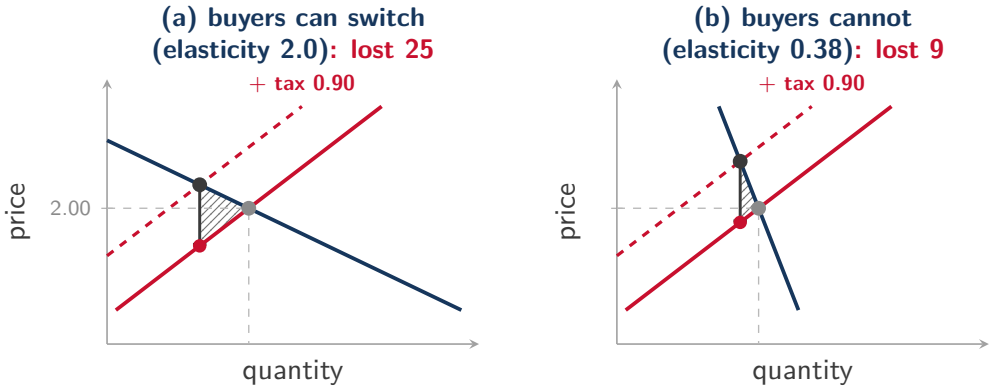
Slide 7 Twice the tax, four times the loss

Same market, the tax doubled. Both sides of the triangle double at once: the wedge is twice as tall, and twice as many cups fall out, because each extra bit of tax stops another band of cups. Half of twice the base times twice the height is four times the area, so the loss grows with the square of the tax: triple it and the loss is nine times. That is why spreading revenue over several small taxes loses less than one big one, which the next slide takes further.

Slide 8 Raise the tax and revenue rises, then falls — the loss keeps growing

The state's side of the same story. Revenue is the tax times the cups still sold, and the two pull against each other: at first the higher tax wins, after 1.80 the shrinking market wins, and at 3.60 no cup is sold and nothing is collected while the whole of Monday's 288 is gone. The two curves read together are the point: past the top, a higher tax brings in less and loses more. The hump-shaped revenue curve is known as the Laffer curve; the loss curve has no hump, it only rises.

The same 0.90 tax loses more where buyers can walk away



The more elastic the market, the more units a tax stops — and the bigger the loss.

Slide 9 The same 0.90 tax loses more where buyers can walk away

Monday's two taxed markets, now read for what is lost rather than who pays. The supply curve and the tax are identical in both panels; what differs is how many cups the tax stops, and that depends on how easily buyers can walk away. Where they can, many cups drop out and the triangle is wide; where they cannot, few drop out, the triangle is thin, and the state also collects more because the base it taxes stays large. This is one reason tobacco and fuel carry heavy taxes; whether that is fair is a separate question. The same holds on the sellers' side: the more easily they can leave, the bigger the loss.

In pairs, four minutes: what a tax on menús loses

Same street, same menús

menús a day	the last one is worth	the last one costs
30	15.00	10.00
45	13.50	11.00
60	12.00	12.00

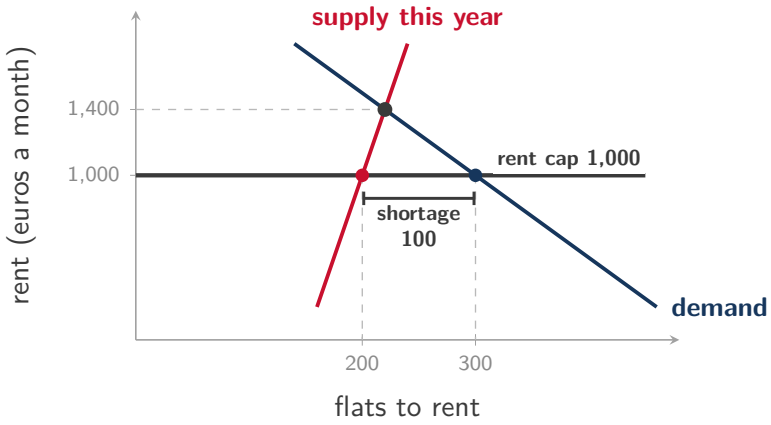
1. Tax 2.50: 45 menús. The lost surplus?
2. Tax 5.00: 30 menús. The lost surplus?
3. Revenue at each tax?

Slide 10 In pairs, four minutes: what a tax on menús loses

Exercise 1 reuses Monday's menú table, so the only new step is the lost triangle. Before class, find for each tax the row where worth minus cost equals the tax, count the menús no longer sold from the no-tax 60, and take half of that times the tax. For item 3, remember that the state collects only on the menús still sold.

Revealed in class.

A rent cap of 1,000 on Gràcia's street: 300 flats wanted, 200 offered



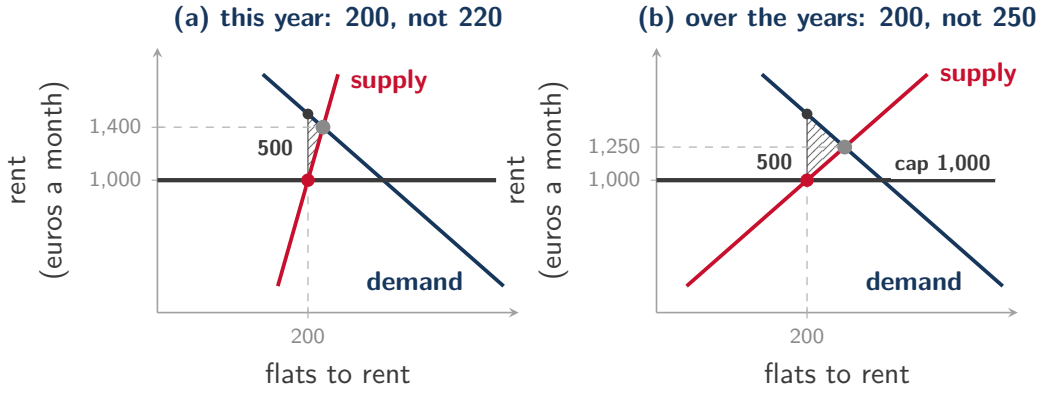
Below the market rent, a cap leaves 100 households searching.

Own numbers (Class 7's Gràcia street); not data.

Slide 11 A rent cap of 1,000 on Gràcia's street: 300 flats wanted, 200 offered

Class 7's Gràcia street, with the government setting the rent. A legal maximum is a price ceiling, and it only matters when it sits below the market rent; a cap above 1,400 would change nothing. At 1,000 owners offer what their supply curve says at that rent and households want what the demand curve says, and the gap between the two is the shortage: not fewer flats in existence, but more wanted than offered at the legal rent. The rent can no longer decide who gets a flat, so something else does: queues, contacts, money under the table, flats let by the season to escape the rule. Those who get a flat pay less; those still searching cannot rent at any price, and whether that trade is worth making is a normative question; what it costs in lost surplus is the next slide.

Over the years the cap costs 50 flats, not 20



Lost surplus: ½ × 500 × 20 = 5,000 a month this year;
½ × 500 × 50 = 12,500 over the years.

Slide 12 Over the years the cap costs 50 flats, not 20

Why the cap's cost grows. This year the stock of flats is almost fixed, so the cap stops only the 20 flats that the higher rent would have coaxed out; over the years owners build, convert and choose whether to let, supply flattens, and the same cap stops 50. The lost triangle is slide 6's: the 200th flat is worth more to the household that would take it than it costs its owner to offer, and the gap closes only at the market quantity. Demand also loosens with time, so the shortage widens too. The dispute among economists is not the direction but the size: how much supply responds, and how fast, is a positive question.

Catalonia's cap: what the data say

Revealed in class

Before class: from the cap picture, what should happen to rents on new contracts, and to the number of new contracts signed? Which would you expect to change first?

Slide 13 Catalonia's cap: what the data say

Revealed in class.

Beforehand: take slide 5's two questions to the cap picture of slides 11 and 12. Ask what should happen to the rent on new contracts, and to the number of new contracts signed, and which of the two you would expect to change first; then ask what besides fewer flats could make the number of new contracts move.

Bottled water with a price cap (optional)

Bottled water at a festival, price capped at 2 euros

1. Market price 1.50: what does the cap do?
2. Heatwave: demand shifts right, the market price would be 3. Now?
3. Does the cap shift supply?

Slide 14 Bottled water with a price cap (optional)

An optional exercise on when a price ceiling matters, at a festival where bottled water may not be sold above 2 euros. Before class, compare the cap with the market price in each situation and ask whether the cap changes anything; for item 3, ask whether a legal price can move a supply curve or only a point along it.

Revealed in class.

Break

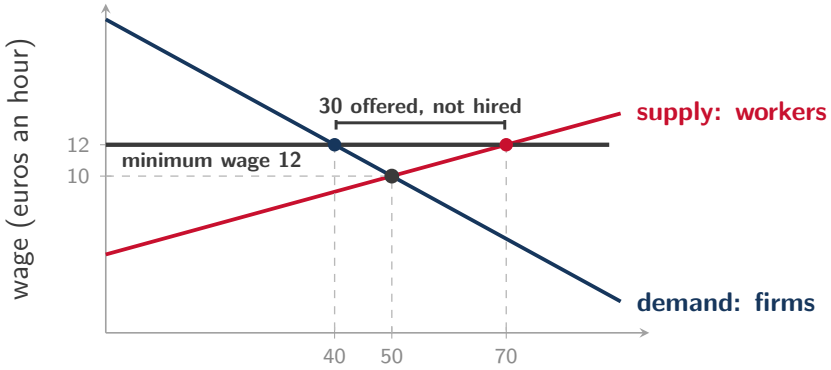
Ten minutes

Problem set 1: on the front desk as you go out

Slide 15 Break

Ten minutes; Problem set 1 is handed in on the way out. After the break: a legal minimum instead of a maximum, then the border opens.

A minimum wage is a price floor: workers offer 70, firms hire 40

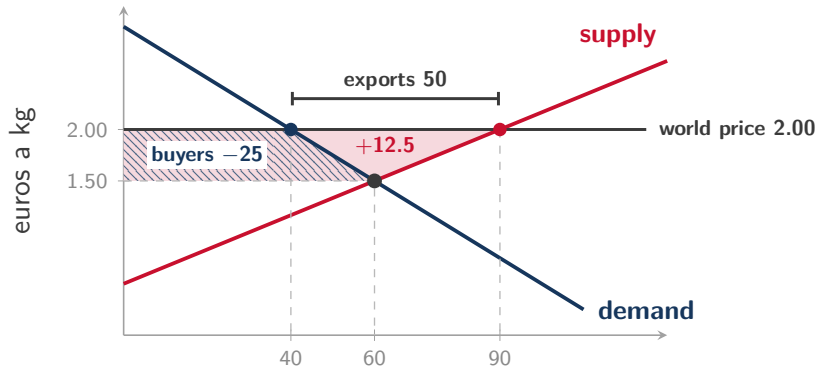


A floor above the market price: sellers offer more than buyers take — here, more hours than firms hire.

Slide 16 A minimum wage is a price floor: workers offer 70, firms hire 40

The mirror of the cap: a price floor, a legal minimum, and the best-known one is the minimum wage. The roles flip: in a labour market the workers are the sellers and the firms the buyers. A floor above the market wage lets those who keep their hours earn more, but firms want fewer hours at the higher wage while workers offer more, and the hours offered but not hired are a surplus, which in a labour market is called unemployment. A floor below the market wage would change nothing, just as a cap above the market rent did nothing. How many hours firms really cut is the disputed number: this picture takes a fifth; real studies find a wide range, smaller for modest rises.

World price above home price: exports; sellers gain, buyers lose less



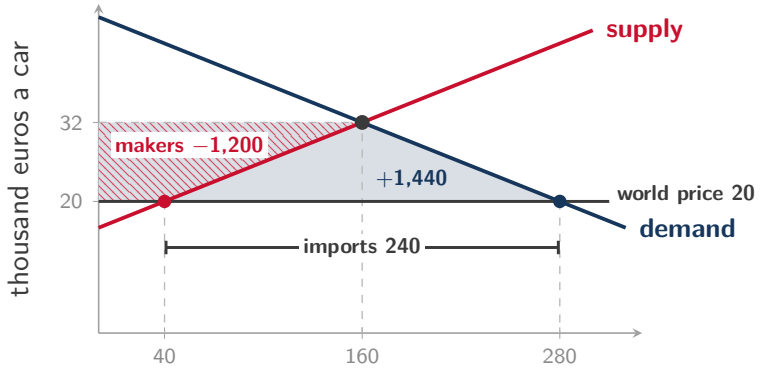
Sellers gain 37.5, buyers lose 25: the country gains 12.5 million euros a year.

1 thousand tonnes = 1 million kg, so euros a kg × thousand tonnes = million euros.

Slide 17 World price above home price: exports; sellers gain, buyers lose less

The border opens, for a country too small to move the world price. If oranges fetch more abroad than at home, no grower sells at home for less, so the home price rises to the world price; at that price home buyers take less, growers sell more, and the difference leaves the country. A world price above the home price is the sign of Class 3's comparative advantage: the country makes oranges at a lower opportunity cost than the rest of the world. Growers gain the whole band between the two prices up to their new quantity; buyers lose the part of that band up to theirs, which simply moves from them to the growers; what is left, the triangle, is a gain nobody had before. The winners could compensate the losers and still be ahead; whether they do is politics, so "exporting makes everyone at home better off" is false.

World price below home price: imports; buyers gain, makers lose less



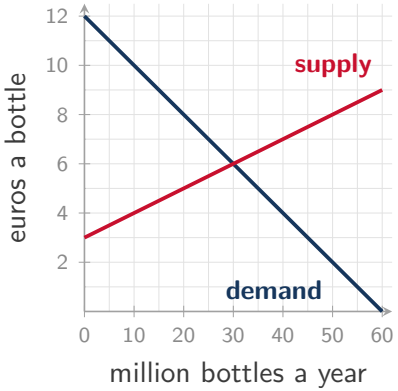
Buyers gain 2,640, home makers lose 1,200: the country gains 1,440 million euros a year.

1 thousand cars × 1 thousand euros a car = 1 million euros.

Slide 18 World price below home price: imports; buyers gain, makers lose less

The other direction. When the world price is below the home price, home makers cannot charge more than an import costs, so the home price falls to the world price; buyers take more, home makers sell less, and imports fill the gap. Now the rest of the world has the comparative advantage. Buyers gain the band between the two prices up to their new quantity, makers lose the part of it up to theirs, and again the difference is a triangle that is pure gain for the country. The rule is the same as for the exporter: the country gains, and the side that now faces competition from abroad loses; "imports make a country poorer" confuses one side's loss with the total.

In pairs, four minutes: cava at home and abroad



Cava in a small country

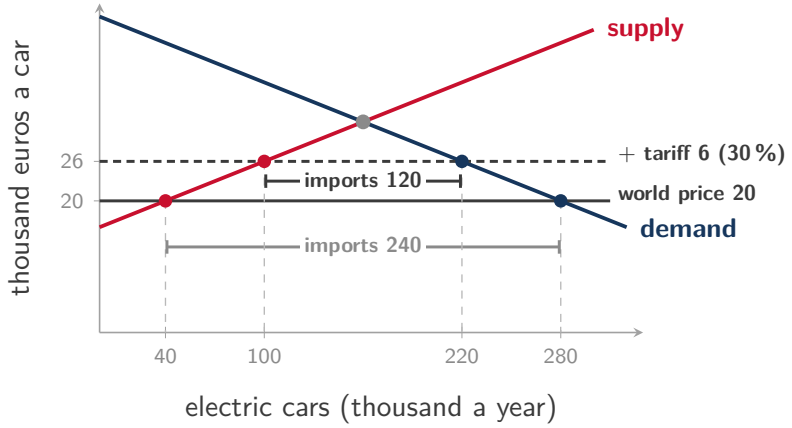
1. No trade: price and bottles?
2. World price 8: export or import? How many?
3. At 8, who loses?
4. World price 4 instead?

Slide 19 In pairs, four minutes: cava at home and abroad

Exercise 2 puts slides 17 and 18 on one graph, a small country's cava, with a world price that can land on either side of the home price. Before class, find the no-trade crossing, then draw each world price as a horizontal line and read off the quantity made from supply and the quantity drunk at home from demand; the gap between them is what crosses the border, and which way. Ask who loses in each case.

Revealed in class.

A tariff of 6 on imported cars: home price 26, imports halve

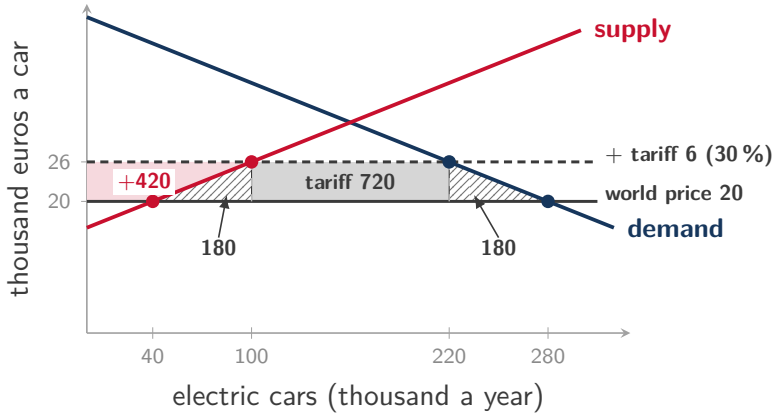


Home price 26: home makers 40 → 100, buyers 280 → 220, imports 240 → 120.

Slide 20 A tariff of 6 on imported cars: home price 26, imports halve

A tariff is a tax on goods made abroad, and in a small country it works like a price rise at the border: an import now costs the world price plus the tariff, home makers can charge the same, and there is one home price for every car wherever it was made. At that higher price home makers move up their supply curve and sell more, buyers move up demand and buy less, so imports shrink from both ends and the market moves back toward where it was without trade. The trap is to think only imported cars get dearer: home-made ones cost the same, because buyers would otherwise switch.

The tariff's bill: 360 million a year that nobody gets



Buyers lose 1,500 = makers 420 + state 720 + 360 that nobody gets (million euros a year).

Slide 21 The tariff's bill: 360 million a year that nobody gets

The tariff's accounts: buyers pay more on every car they still buy and lose the cars they no longer buy, so their loss is the whole band between the two prices up to the old quantity. Part of that band goes to home makers as a higher price on their cars, part goes to the state as tariff on the cars still imported, and two triangles go to nobody: on the left, cars now made at home that cost more than an import would have; on the right, cars that buyers valued above the world price and no longer get. Each triangle is slide 6's formula again, half the tariff times the cars moved. A quota letting in the same number of cars would do the same, except that the holders of the import licences, not the state, would keep the rectangle. In a small country the world price does not move, so the tariff is paid by home buyers, not by the foreign makers.

October 2024: the EU adds duties on electric cars made in China

EU's ordinary duty on cars (China included)	**10 %**
Plus, electric cars made in China:	
BYD	17.0 %
Geely	18.8 %
SAIC	35.3 %
other cooperating makers	20.7 %

February 2026: one China-made model exempted from the extra duty, for a minimum import price and a cap on numbers.

European Commission, IP/24/5589 (29 October 2024) and QANDA/24/3232 (12 June 2024); price undertaking accepted 10 February 2026.

Slide 22 October 2024: the EU adds duties on electric cars made in China

A real tariff, with the rates from the European Commission's own announcement. Since October 2024 battery-electric cars made in China pay the EU's ordinary 10 per cent duty on cars plus a company-specific extra, for five years ("cooperating makers" are those that took part in the Commission's investigation; makers that did not cooperate pay the top rate, 35.3 per cent); the stated reason is that Chinese subsidies threaten European carmakers. The ordinary duty and the extra together are not far from slide 20's 30 per cent, so the same picture applies: a higher price for European buyers, more room for European makers, revenue, and two lost triangles. The February 2026 exception is today's other tools in disguise: one model is let in without the extra duty in exchange for a minimum import price and a limit on numbers, a price floor and a quota.

Five arguments for limiting trade — and the catch

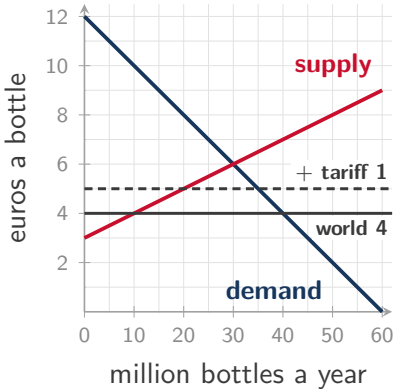
argument	the catch
jobs	export industries add jobs
national security	easily stretched to any industry
infant industry	hard to pick future winners
unfair competition	home buyers gain from cheap imports
bargaining chip	threats may have to be carried out

Each protects someone; home buyers pay, two triangles are lost.

Slide 23 Five arguments for limiting trade — and the catch

The reading's five arguments, each with a grain of truth and a catch. Jobs do go, but others grow in the industries with the comparative advantage, and slide 17 showed the winners could pay the losers and still be ahead; national security is fair for a few goods and claimed by every industry; protecting an infant industry needs someone to pick future winners, and politics picks badly; against subsidised imports the home buyers still gain more than home makers lose, so acting anyway is a judgement, Class 4's normative side; and a threat used as a bargaining chip may have to be carried out. Whichever argument wins, the mechanics do not change: home buyers pay, and two triangles are lost.

In pairs, four minutes: a tariff of 1 euro on imported cava



Cava: world price 4, tariff 1

1. Home price and imports?
2. Tariff revenue?
3. Surplus lost?
4. Who gains, and how much?

Slide 24 In pairs, four minutes: a tariff of 1 euro on imported cava

Exercise 3 is slide 21 on the cava market of exercise 2, with the world price below the home price and a tariff of 1 euro a bottle. Before class, find the home price with the tariff, read the home quantities off the two curves at that price, and take the gap as imports; count the revenue on those imports only. Then draw the two triangles and check whether they are the same size.

Revealed in class.

Who exports steel? (optional)

Wheat given up for one tonne of steel

North	4 tonnes
South	2 tonnes

North is faster at both goods.

1. Before trade, where is steel cheaper?
2. World price: 3 tonnes of wheat. Who exports steel?
3. Can North still gain from trade?

Slide 25 Who exports steel? (optional)

An optional exercise joining Class 3's comparative advantage to slide 17's rule. Before class, treat each country's cost of steel in wheat as its home price of steel, compare the two, and ask what a world price between them does for each country; then ask whether being faster at both goods changes who gains.

Revealed in class.

Beyond the frontier (optional)

An island: 10 hours of work a day

1 fish: 1 hour · 1 coconut: 2 hours · world: 1 coconut = 1 fish

1. It fishes 10 hours, swaps 3 fish for 3 coconuts. What does it eat?
2. Could it make that alone?
3. Inside, on or beyond its own frontier?

Slide 26 Beyond the frontier (optional)

An optional exercise on what trade does to Class 3's production frontier. Before class, work out what a coconut costs the island in fish at home and what it costs at the world price, decide what the island should spend its hours on, and then check whether the bundle it ends up eating could be made with its own ten hours.

Revealed in class.

A tax, a cap or a tariff shrinks a market; twice the wedge, four times the loss.

A binding cap: cheaper for some, a shortage for others.

Open borders: the country gains, some lose; a tariff takes part of it back.
Monday: when a market hurts people outside it.

Before Monday 26 October

- Monday: market failures, externalities and public goods
- Read Mankiw & Taylor: Ch. 9, pp. 204–216; Ch. 8, pp. 189–197 (pp. 197–199 optional)
- Problem set 2 (Block 3): handed out Monday; due Monday 2 November
- Practise in Sextant: the units the course page lists

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Slide 27 In one line

The class in four lines, to read slowly: the first is slides 6 to 10 and 21, the second slides 11 to 13, the third slides 17 to 21, and the fourth names Monday.

Slide 28 Before Monday 26 October

Monday 26 October: what happens when a trade affects people outside it, and goods nobody can be kept from using: market failures, externalities and public goods. Reading: Mankiw & Taylor chapter 9, pages 204 to 216, and chapter 8, pages 189 to 197; pages 197 to 199 are optional. Problem set 2, on Block 3, is handed out on Monday and is due on Monday 2 November. Practise in Sextant with the units the course page lists.

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